

fund houses to buy his holdings through negotiated deals ensured that Ketan got a better price than he would have from selling his shares in the market. Dumping the shares in the market would wreck the price and even draw the regulators' attention, besides causing losses. But palming them off to fund houses would ensure that future losses, if any, would be borne by the unitholders of those funds.

The Pentafour formula would be repeated with the stocks of Zee, Global Telesystems, HFCL, DSQ Software, Aftak Infosys, Ranbaxy, and Software Solutions Integrated, to name a few that Ketan manipulated, over the next couple of years. There were plenty of smaller companies, mostly in the media space, in which Ketan played the same game.

Ketan would ask for a slice of the promoters' shares at a steep discount to the market price. He and his associates would then boost volumes in the stock by trading the shares among themselves. Being a qualified chartered accountant, Ketan could understand balance sheets and earnings models very well. Yet, barring a few, his choice of stocks showed he was not really bothered about the fundamentals of the company.

His skill lay in figuring out which 'story' could be marketed as a 'multi-bagger' in the making. A stock that could double in price was touted as a two-bagger, one which would treble a three-bagger, and so on. His Pentafour Software story projected the company as a provider of high-end animation software to Hollywood studios, and not as a plain vanilla outsourcing outfit.

Having identified the story, Ketan's next step was to analyse the floating stock in the market so that he could control the stock price. Floating stock refers to the shares held by persons other than the promoters of the company. Analysis of the floating stock involved trying to figure out which big investors in the stock were likely to sell their holdings, and when. Ketan also had to identify fund managers who could be induced to time their sales so that they favoured his trading positions. On the other side, there had to be fund managers who could be persuaded to buy stocks off him. Ketan would also have to figure out how much stock the promoters held through their *benami* entities. This was critical, because promoters would often try to double-cross operators by selling their shares through their *benami* accounts while the operators were trying to push up the stock price by buying.